

	Applicant	Company registered under Companies Act, 2013 or Limited Liability Partnership (LLP) registered under Limited Liability Partnership Act, 2008
	Base year and gestation year	- FY 2024-25 shall be considered as base year for calculation of incremental sales. In case of one year gestation period opted, FY 2025-26 shall be the base year. - An applicant may opt for a gestation period of one year i.e. FY 2025-26. It shall only be applicable to the target segments - A, B and C
	Sales	- The baseline sales shall include net sales of target segment goods manufactured in India in the base year by the applicant as well as group company/joint venture - Net incremental sales is the difference between net sales of manufactured target segment goods in the incentive claim period and the base year
	Employment	The average employment shall be referred to the sum of number of persons employed (direct or contractual) on monthly basis over 12 months by the applicant divided by number of months i.e. 12
	Eligible investment	- Plant, machinery and equipment and associated utilities - Research and development - Transfer of technology
	Ineligible investment	- Land and building - Consumables and raw material

Fig. 7: Key definitions

• **Turnover or hybrid-linked incentives.** Valid for six years with a one-year gestation period. Claims must be filed within nine months from the end of the relevant financial year.

• **Capex-linked incentives.** Valid for five years from the date of application acknowledgement. Claims must also be filed within nine months from the end of the year in which commercial production begins.

• **Employment incentives.** May follow a more extended disbursement schedule.

Recognising the unique challenges of component manufacturing which include high capital costs, prolonged gestation, rapid tech cycles, the ECMS offers differentiated incentives shown in Table 2.

• **First-come, first-served.** Applications open on May 1, 2025, and incentives are distributed on a first-come, first-served basis.

• **Eligibility.** Both greenfield (new) and brownfield (expansion) investments are eligible. Separate applications are required for each product segment.

Segment-specific incentives.

• **Sub-assemblies (e.g. display and camera modules).** Investment of ₹500 million in year 1 scaling to ₹2.5 billion by year 5. Incentives range from 4% to 1% (display modules)

and 5% to 2% (camera modules).

• **Bare components (e.g. non-SMD passives, electro-mechanicals, PCBs, Li-ion cells).** Investment of ₹100 million in Year 1 rising to ₹500 million. Incentive rates range from 6% to 8% initially, tapering to 3% to 4%.

• **Selected bare components (e.g. HDI PCBs, SMD passives).** Hybrid incentive combining turnover-linked (up to 8%) and capex-linked (25%) support.

• **Capital equipment and supply chain parts.** Minimum investment of ₹100 million with 25% capex-linked incentive, subject to employment criteria.

Under the Hybrid incentive for selected bare components, such as high-density interconnect (HDI), modified semi-additive process (MSAP), flexible PCB, and SMD passive components, companies must meet specific cumulative

incremental investment, sales, and employment thresholds over six years. For example, HDI and related PCBs require an investment ranging from ₹2 billion in year 1 to ₹10 billion by year 6, with corresponding incremental sales and employment targets. The incentive rate for these is turnover-linked (8% to 4% for HDI/MSAP/Flexible PCB and 5% to 3% for SMD passive components) or capex-linked at 25%.

For the capex incentive, the focus is on the supply chain ecosystem and capital equipment. Eligible parts and components used in sub-assemblies and bare components, as well as capital goods for electronics manufacturing, must have a minimum investment of ₹100 million and meet employment criteria (e.g., 10 jobs per ₹100 million investment). The incentive rate here is 25% of the capital expenditure. This structure aims to boost investment, sales, and employment in the electronics manufacturing sector by offering significant financial incentives linked to performance and capital outlay.

How ECMS is different: A smarter, consultative approach

The ECMS outlines specific criteria for product eligibility across several components. For the display module sub-assembly, applicants must complete the entire sub-assembly process in India, including film on glass (FOG) and chip on glass (COG) processes where applicable,

TABLE 2
DIFFERENTIATED INCENTIVES OF ECMS

Incentive type	What it supports	Key features
Turnover-linked incentive	Incremental sales of eligible products	% of increased sales; must meet investment and employment targets
Capex incentive	Capital expenditure on plant, machinery, and infrastructure	Up to 25% of eligible capex supports high-capex segments
Hybrid incentive	Combination of turnover and capex incentives	Customisable for specific product categories
Employment-linked incentive	Job creation	1% of the incentive rate is linked to employment targets